

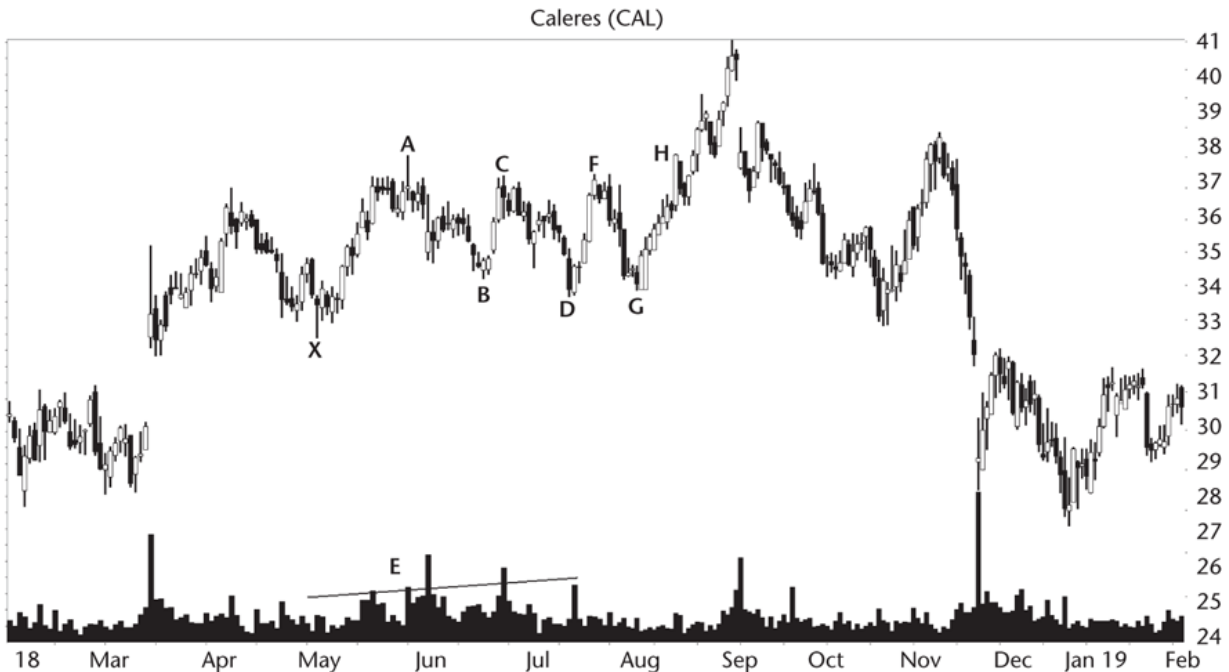


Figure 38.2 This bullish Gartley struggles to find a trend direction.

CB/AB retrace. Find turn C in the same manner. I use the high price at A, the low at B, and the high–low range of target C (36.38 to 35.02). Plugging the numbers into the ratio gives a range of .47 to .82. That range includes four Fibonacci numbers listed in [Table 38.1](#) (any one of them will do just fine, thank you very much), so point C qualifies as a valid turn, also.

CD/CB extension. Calculate an extension in the same way as a retrace. In this case, I use the low at B, high at C, and the high–low range at D (34.10 to 32.66) to get a range of .72 to 1.17. The 1.13 Fibonacci number squeaks into the range, so point D qualifies. We've one more ratio to calculate before we pronounce this a valid Gartley.

AD/AX retrace. For the last ratio, leg AD as a retrace of AX, I use the low at X, high at A, and low at D. Notice I don't use the high–low range at D. Rather, turn D must fall within a 3% window. Why? I wanted the last turn to be almost dead-on. In this example, point D comes in at .79, which squeezes through the 3% (of .786) window easily.

Passing that last ratio test means this pattern is a valid Gartley. However, one source I checked said that the height of leg CD should be a Fibonacci number of AB, so that it acts like an AB=CD pattern. You can add that test to see if performance improves.